



December 22, 2023

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VIA EMAIL

Dr. Kristen Monaco
Director, Bureau of Trade Analysis
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573

RE: **URGENT** – Request for Special Permission on behalf of
Hapag-Lloyd AG, Org No. 005980

Dear Dr. Monaco:

Pursuant to 46 C.F.R. §520.14, Hapag-Lloyd AG, Org. No. 005980 (“Hapag-Lloyd”) respectfully requests special permission to deviate from 46 C.F.R. §520.8(a) and to implement an Operational Cost Recovery Surcharge (“OCR”) on less than thirty (30) days’ notice. The reasons for this request are set forth below.

As a global carrier, Hapag-Lloyd operates services between the U.S. Atlantic and Gulf Coasts and various locations around the world, including the Middle East and the Indian Subcontinent. The services between the U.S. Atlantic and Gulf Coasts and the Indian Subcontinent and Middle East have historically transited the Suez Canal, which provides a shorter, faster and less expensive alternative to sailing around the southern cape of Africa.

As the Commission is aware, in recent days there have been a number of attacks on vessels transiting the narrow strait at the south end of the Red Sea. Indeed, one of Hapag-Lloyd’s vessels was struck by a missile in this area last week. (See https://www.joc.com/article/hapag-lloyd-vessel-hit-red-sea-choke-point_20231215.html).

These attacks have made it too dangerous to continue operating services via the Suez Canal. Hapag-Lloyd has decided instead to route its vessels around Africa for safety of the crews, vessels, and cargo. Diverting vessels away from the Suez Canal and sailing around Africa significantly lengthens the voyage from the Indian Subcontinent and Middle East to the U.S. Atlantic and Gulf Coasts, and significantly increases the cost of providing this service.

In an effort to recover these costs, Hapag-Lloyd has published an OCR of U.S.\$800 per 20' container and U.S.\$1,000 per 40' container in Rule E01.17 of its tariff RURE-002 (copy attached). The OCR is scheduled to become effective January 22, 2024. However, unless the effective date of this new surcharge is advanced, Hapag-Lloyd will be unable to begin recovering the increased costs it is presently experiencing for almost a full month.

Accordingly, Hapag-Lloyd respectfully requests that it be granted special permission to advance the effective date of the OCR to the earliest possible date.

The filing fee for this request has been paid electronically. The Pay.gov tracking ID is 27AC6HOI and the Agency Tracking ID is 76584232261.

Thank you in advance for your favorable consideration of this request. Should you have any questions or require any further information, please do not hesitate to contact the undersigned.

Sincerely,

COZEN O'CONNOR

A handwritten signature in black ink, appearing to read "Wayne Rohde", written in a cursive style.

By: Wayne Rohde

WRR

Enclosure

Rules & Regulations

Tariff Code RURE-002

Rule No. E01.17 **Valid From** 2024-01-22

Rule Title OPERATIONS COST RECOVERY (OCR)

Effective January 22, 2024:

Imports to U.S. Atlantic and Gulf Coast of the United States from the Indian Subcontinent & Middle East shall be subject to an Operations Cost Recovery Surcharge (OCR) in the following amounts:

USD 800 per 20 container
USD 1000 per 40 container

The charge is intended to offset the increased cost of operations resulting from the need to divert vessels away from the Red Sea/Suez Canal. The charge applies to all containers and cargo types.

For purposes of this rule, Indian Subcontinent means India, Pakistan, Bangladesh, Sri Lanka and Middle East means United Arab Emirates, Oman, Bahrain, Kuwait, Qatar, Iraq, Saudi Arabia (including Dammam and Al Jubail), and Jordan.